

Hartwell & Associates, Estate & Trust Administration

Re: Estate of Marcus T. Morales • Date of death: 03/14/2025 • Beneficiary: Miles Morales

Dear Mr. Morales,

This letter documents the cost basis of inherited securities and the life-insurance settlement. Because you and Mr. Morales were domiciled in California, a **community property** state, the entire community interest in the securities receives a step-up to fair market value as of the date of death — not merely the decedent's half. Your basis in the Crestline (CRL) shares is therefore **\$95.00 per share** applied to all 1,000 shares; the original \$22.00/share Mr. Morales paid is not your basis. Inherited property is always long-term.

Security	Shares	Original cost/sh	FMV/sh at DOD	Stepped-up basis/sh
Crestline Industries (CRL)	1000	\$22.00	\$95.00	\$95.00

Date-of-Death Valuation Schedule — Full Inherited Portfolio

Security	Shares	Orig cost/sh	Orig total	FMV/sh (DOD)	Stepped-up value
Crestline Industries (CRL)	1000	\$22.00	\$22,000.00	\$95.00	\$95,000.00
Bridgepoint Total Market Idx (BTMX)	300	\$48.00	\$14,400.00	\$84.00	\$25,200.00
Westshore Muni Income (MUNW)	250	\$49.50	\$12,375.00	\$51.00	\$12,750.00
Halcyon Health Div ETF (HLTV)	180	\$40.00	\$7,200.00	\$72.00	\$12,960.00
TOTAL			\$55,975.00		\$145,910.00

These stepped-up per-share values are the cost basis carried on your retitled brokerage account, and are the basis you use to compute gain or loss on any sale.

Life Insurance Settlement Summary

Pacific Mutual Life — Policy on the life of Marcus T. Morales • Beneficiary: Miles Morales

Item	Amount	Tax treatment
Death benefit (lump sum)	\$50,000.00	Excluded from gross income (IRC §101(a))
Interest paid on delayed settlement	\$900.00	Taxable — reported on Form 1099-INT
Total paid to beneficiary	\$50,900.00	

Important: the \$50,000 death benefit is **not** taxable income and should not be reported as income. Only the \$900 of interest credited while the settlement was held is taxable.

Sincerely, R. Hartwell, Estate Administrator.